ANNUAL OPERATING BUDGET

Ironwood Marketplace | Boston, MA

Property	Ironwood Marketplace
Fiscal Year	2025
Submitted By	Elmstead Asset Services
Submitted	August 8, 2025

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$368,946	$379,385	$394,431	$25,486	6.9%	$32,869.28
5010 Loss to Lease	$211,406	$209,795	$216,090	$4,684	2.2%	$18,007.47
5020 Vacancy Loss	$207,346	$197,639	$210,061	$2,715	1.3%	$17,505.09
5030 Concessions	$200,539	$193,871	$200,375	-$164	-0.1%	$16,697.95
5040 Bad Debt	$27,734	$28,536	$28,875	$1,142	4.1%	$2,406.28
5050 Late Fees	$235,922	$221,569	$222,390	-$13,532	-5.7%	$18,532.53
5060 Utility Reimbursements	$330,673	$316,542	$324,043	-$6,630	-2.0%	$27,003.61
5070 Parking Income	$360,215	$340,334	$359,221	-$994	-0.3%	$29,935.09
5080 Application Fees	$317,680	$316,832	$319,722	$2,042	0.6%	$26,643.51
5090 Pet Rent	$154,655	$163,569	$170,299	$15,644	10.1%	$14,191.59
5100 Laundry Income	$332,454	$321,301	$339,439	$6,984	2.1%	$28,286.57
5110 Cable/Internet Revenue	$269,182	$265,111	$279,629	$10,447	3.9%	$23,302.42
5120 CAM Reimbursements	$106,849	$108,963	$110,380	$3,531	3.3%	$9,198.33
5130 Tax Reimbursements	$62,305	$60,572	$62,962	$657	1.1%	$5,246.86
5140 Insurance Reimbursements	$75,338	$72,480	$76,720	$1,381	1.8%	$6,393.30
5150 Percentage Rent	$216,095	$199,542	$209,891	-$6,204	-2.9%	$17,490.96
5160 Misc. Income	$355,534	$328,661	$339,329	-$16,205	-4.6%	$28,277.42
5170 Payroll - Management	$251,337	$244,667	$248,049	-$3,288	-1.3%	$20,670.73
5180 Payroll - Leasing	$308,518	$332,217	$352,522	$44,005	14.3%	$29,376.84
5190 Payroll - Maintenance	$145,802	$143,495	$152,570	$6,768	4.6%	$12,714.19
5200 Payroll Taxes & Benefits	$246,887	$256,849	$264,287	$17,400	7.0%	$22,023.91
5210 Repairs - Plumbing	$313,830	$326,261	$336,038	$22,208	7.1%	$28,003.15
5220 Repairs - HVAC	$395,587	$403,854	$406,781	$11,194	2.8%	$33,898.45

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5410 Resident Events	$411,296	$399,085	$405,307	-$5,989	-1.5%	$33,775.57
5420 Office Supplies	$348,939	$368,911	$381,925	$32,986	9.5%	$31,827.11
5430 Legal & Professional	$36,546	$35,202	$36,534	-$12	-0.0%	$3,044.52
5440 Accounting & Audit	$57,355	$53,401	$54,812	-$2,543	-4.4%	$4,567.63
5450 Licenses & Permits	$86,714	$93,614	$99,789	$13,075	15.1%	$8,315.73
5460 Management Fee	$417,646	$429,505	$431,749	$14,103	3.4%	$35,979.07
5470 Property Insurance	$124,954	$130,387	$134,907	$9,953	8.0%	$11,242.28
5480 Real Estate Taxes	$219,607	$211,338	$222,694	$3,088	1.4%	$18,557.86
5490 Asset Management Fee	$325,092	$332,750	$338,445	$13,353	4.1%	$28,203.72
5500 Replacement Reserves	$396,466	$424,038	$426,710	$30,244	7.6%	$35,559.14
5510 Roof Repairs	$306,978	$297,867	$315,418	$8,441	2.7%	$26,284.87
5520 Parking Lot Repairs	$391,610	$375,313	$392,495	$885	0.2%	$32,707.88
5530 Signage	$21,622	$20,489	$21,884	$263	1.2%	$1,823.69
5540 Tenant Improvements	$237,344	$251,044	$258,608	$21,265	9.0%	$21,550.69
5550 Leasing Commissions	$46,618	$45,884	$46,189	-$429	-0.9%	$3,849.05
5000 Gross Potential Rent	$393,883	$388,096	$408,850	$14,967	3.8%	$34,070.85
5010 Loss to Lease	$81,742	$82,921	$84,088	$2,346	2.9%	$7,007.37
5020 Vacancy Loss	$371,247	$346,703	$354,117	-$17,131	-4.6%	$29,509.71
5030 Concessions	$27,597	$26,157	$27,022	-$575	-2.1%	$2,251.82
5040 Bad Debt	$71,442	$74,499	$76,976	$5,534	7.7%	$6,414.69
5050 Late Fees	$122,391	$126,676	$133,991	$11,600	9.5%	$11,165.92
5060 Utility Reimbursements	$356,195	$374,219	$377,889	$21,694	6.1%	$31,490.75
5070 Parking Income	$360,608	$355,834	$364,236	$3,627	1.0%	$30,352.98
5080 Application Fees	$352,143	$342,741	$355,334	$3,191	0.9%	$29,611.16
5090 Pet Rent	$116,506	$124,131	$129,380	$12,874	11.1%	$10,781.63
5100 Laundry Income	$257,550	$269,135	$283,967	$26,417	10.3%	$23,663.88
5110 Cable/Internet Revenue	$289,080	$309,929	$330,212	$41,132	14.2%	$27,517.70
5120 CAM Reimbursements	$288,084	$296,590	$299,851	$11,767	4.1%	$24,987.54
5130 Tax Reimbursements	$371,486	$374,892	$377,067	$5,581	1.5%	$31,422.29
5140 Insurance Reimbursements	$103,206	$105,288	$109,433	$6,227	6.0%	$9,119.45
5150 Percentage Rent	$371,538	$369,395	$386,998	$15,460	4.2%	$32,249.86
5160 Misc. Income	$27,557	$26,814	$27,998	$441	1.6%	$2,333.16
5170 Payroll - Management	$195,541	$200,148	$211,002	$15,461	7.9%	$17,583.52
5180 Payroll - Leasing	$73,657	$71,777	$71,843	-$1,814	-2.5%	$5,986.91
5190 Payroll - Maintenance	$368,165	$349,878	$356,615	-$11,550	-3.1%	$29,717.91
5200 Payroll Taxes & Benefits	$335,234	$319,619	$331,242	-$3,992	-1.2%	$27,603.53
5210 Repairs - Plumbing	$354,531	$375,059	$392,641	$38,110	10.7%	$32,720.08
5220 Repairs - HVAC	$348,472	$332,806	$346,200	-$2,272	-0.7%	$28,850.01
5230 Repairs - Electrical	$416,193	$397,955	$410,508	-$5,686	-1.4%	$34,208.96
5240 Repairs - Appliances	$63,799	$68,596	$72,042	$8,242	12.9%	$6,003.46
5250 Painting & Decorating	$71,052	$71,372	$71,653	$602	0.8%	$5,971.10

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Financial Analysis

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $107,000, representing a 10.5% increase over the prior year. The going-in capitalization rate of 7.71% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 3.5% of collected revenue and are included in operating expenses.

Net operating income is projected to grow at a compound annual rate of 4.8% over the hold period. Effective gross income for the trailing period was $9,000, representing a 4.2% increase over the prior year. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The going-in capitalization rate of 8.04% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.52x on a trailing basis against a covenant minimum of 1.20x.

Property Operations

Collections for the period were 93.0% of billed charges, with bad debt of 5.6% of gross potential income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Service requests are tracked through a work-order system with an average completion time of 7 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 13th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average rent is $27 per square foot with parking at a ratio of 26 spaces per 1,000 square feet.

Average rent is $27 per square foot with parking at a ratio of 26 spaces per 1,000 square feet. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 33 hours.

Valuation Discussion

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.28x on a trailing basis against a covenant minimum of 1.20x. Average rent is $27 per square foot with parking at a ratio of 33 spaces per 1,000 square feet. Operating expenses totaled $167,000 or approximately 31.61 per square foot, with real estate taxes representing the largest line item. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Net operating income is projected to grow at a compound annual rate of 7.9% over the hold period. Operating expenses totaled $386,000 or approximately 16.35 per square foot, with real estate taxes representing the largest line item. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 6.75x on a trailing basis against a covenant minimum of 1.20x.

Management Commentary

The manager completes a monthly walk of the property and submits a variance report to the owner by the 10th business day. Service requests are tracked through a work-order system with an average completion time of 29 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 2 additional team members. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Collections for the period were 91.9% of billed charges, with bad debt of 4.0% of gross potential income.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The manager completes a monthly walk of the property and submits a variance report to the owner by the 47th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 5 additional team members.

Valuation Discussion

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Operating expenses totaled $464,000 or approximately 46.13 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 3.7% of collected revenue and are included in operating expenses. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5300 Janitorial	$258,682	$272,078	$284,087	$25,405	9.8%	$23,673.91
5310 Pest Control	$324,695	$324,738	$342,532	$17,837	5.5%	$28,544.32
5320 Trash Removal	$84,547	$82,688	$87,097	$2,550	3.0%	$7,258.10
5330 Elevator Contract	$308,455	$317,273	$326,637	$18,182	5.9%	$27,219.76
5340 Fire & Life Safety	$189,454	$194,641	$199,712	$10,258	5.4%	$16,642.68
5350 Security	$352,503	$380,539	$399,133	$46,630	13.2%	$33,261.10
5360 Electricity - Common	$155,282	$164,547	$164,747	$9,464	6.1%	$13,728.88
5370 Gas - Common	$289,495	$309,150	$324,106	$34,611	12.0%	$27,008.84
5380 Water & Sewer	$99,191	$101,661	$101,810	$2,618	2.6%	$8,484.14
5390 Telephone/Internet	$81,134	$83,295	$86,874	$5,739	7.1%	$7,239.49
5400 Advertising	$55,538	$57,428	$57,642	$2,104	3.8%	$4,803.52
5410 Resident Events	$292,343	$273,320	$291,738	-$605	-0.2%	$24,311.50
5420 Office Supplies	$169,753	$174,520	$179,406	$9,653	5.7%	$14,950.53
5430 Legal & Professional	$172,620	$173,847	$178,570	$5,949	3.4%	$14,880.80
5440 Accounting & Audit	$148,822	$158,179	$165,799	$16,977	11.4%	$13,816.58
5450 Licenses & Permits	$190,243	$188,025	$190,591	$347	0.2%	$15,882.55
5460 Management Fee	$393,269	$409,028	$420,777	$27,508	7.0%	$35,064.76
5470 Property Insurance	$115,471	$118,966	$126,778	$11,308	9.8%	$10,564.86
5480 Real Estate Taxes	$162,665	$153,676	$161,481	-$1,183	-0.7%	$13,456.77
5490 Asset Management Fee	$323,357	$301,939	$309,652	-$13,705	-4.2%	$25,804.31
5500 Replacement Reserves	$241,186	$225,389	$241,141	-$45	-0.0%	$20,095.07
5510 Roof Repairs	$297,166	$298,228	$303,299	$6,132	2.1%	$25,274.89
5520 Parking Lot Repairs	$168,700	$162,430	$168,357	-$343	-0.2%	$14,029.76
5530 Signage	$60,779	$63,768	$67,867	$7,088	11.7%	$5,655.54
5540 Tenant Improvements	$374,374	$352,893	$357,438	-$16,936	-4.5%	$29,786.49
5550 Leasing Commissions	$283,452	$291,903	$295,079	$11,627	4.1%	$24,589.92
5000 Gross Potential Rent	$90,603	$92,355	$96,298	$5,695	6.3%	$8,024.82
5010 Loss to Lease	$216,034	$200,260	$207,567	-$8,467	-3.9%	$17,297.22
5020 Vacancy Loss	$184,095	$173,314	$177,369	-$6,726	-3.7%	$14,780.73
5030 Concessions	$154,197	$149,803	$156,255	$2,058	1.3%	$13,021.28
5040 Bad Debt	$295,200	$276,033	$286,291	-$8,909	-3.0%	$23,857.56
5050 Late Fees	$312,087	$301,271	$310,318	-$1,770	-0.6%	$25,859.82
5060 Utility Reimbursements	$341,980	$356,658	$360,594	$18,614	5.4%	$30,049.50
5070 Parking Income	$96,550	$91,320	$92,227	-$4,323	-4.5%	$7,685.62
5080 Application Fees	$344,636	$333,634	$337,657	-$6,979	-2.0%	$28,138.06
5090 Pet Rent	$234,753	$227,757	$232,107	-$2,646	-1.1%	$19,342.25
5100 Laundry Income	$183,188	$189,744	$191,408	$8,220	4.5%	$15,950.64
5110 Cable/Internet Revenue	$249,419	$261,622	$264,733	$15,314	6.1%	$22,061.12
5120 CAM Reimbursements	$332,793	$345,296	$369,066	$36,274	10.9%	$30,755.53
5130 Tax Reimbursements	$371,308	$368,351	$390,765	$19,458	5.2%	$32,563.77
5140 Insurance Reimbursements	$409,802	$386,348	$394,168	-$15,634	-3.8%	$32,847.35
5150 Percentage Rent	$306,651	$284,241	$289,897	-$16,754	-5.5%	$24,158.09
5160 Misc. Income	$322,189	$321,313	$324,626	$2,437	0.8%	$27,052.15

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Operating Performance

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The going-in capitalization rate of 6.22% reflects the in-place income and the stabilized occupancy assumption. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Net operating income is projected to grow at a compound annual rate of 5.7% over the hold period. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management fees are calculated at 5.2% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $159,000, representing a 11.9% increase over the prior year. The going-in capitalization rate of 7.86% reflects the in-place income and the stabilized occupancy assumption. Average rent is $27 per square foot with parking at a ratio of 9 spaces per 1,000 square feet. Operating expenses totaled $100,000 or approximately 45.22 per square foot, with real estate taxes representing the largest line item.

Management Commentary

Average rent is $27 per square foot with parking at a ratio of 39 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Service requests are tracked through a work-order system with an average completion time of 32 hours. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The manager completes a monthly walk of the property and submits a variance report to the owner by the 45th business day.

Average rent is $27 per square foot with parking at a ratio of 16 spaces per 1,000 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 2 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 18th business day. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Service requests are tracked through a work-order system with an average completion time of 23 hours.

Operating Performance

Operating expenses totaled $204,000 or approximately 33.82 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.29% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 3.2% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.47x on a trailing basis against a covenant minimum of 1.20x. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

The going-in capitalization rate of 6.96% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $410,000 or approximately 6.81 per square foot, with real estate taxes representing the largest line item. Average rent is $27 per square foot with parking at a ratio of 34 spaces per 1,000 square feet. Net operating income is projected to grow at a compound annual rate of 5.6% over the hold period.

Property Operations

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Collections for the period were 88.4% of billed charges, with bad debt of 7.9% of gross potential income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Financial Analysis

Average rent is $27 per square foot with parking at a ratio of 27 spaces per 1,000 square feet. Management fees are calculated at 6.5% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.98x on a trailing basis against a covenant minimum of 1.20x. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The going-in capitalization rate of 7.04% reflects the in-place income and the stabilized occupancy assumption.

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5170 Payroll - Management	$128,263	$128,981	$137,805	$9,542	7.4%	$11,483.72
5180 Payroll - Leasing	$323,178	$315,606	$329,379	$6,201	1.9%	$27,448.28
5190 Payroll - Maintenance	$274,014	$281,672	$298,760	$24,746	9.0%	$24,896.63
5200 Payroll Taxes & Benefits	$278,940	$286,920	$286,966	$8,026	2.9%	$23,913.80
5210 Repairs - Plumbing	$138,333	$144,305	$147,477	$9,144	6.6%	$12,289.72
5220 Repairs - HVAC	$320,155	$301,490	$308,783	-$11,372	-3.6%	$25,731.91
5230 Repairs - Electrical	$381,021	$376,421	$379,039	-$1,982	-0.5%	$31,586.59
5240 Repairs - Appliances	$385,443	$400,623	$401,763	$16,320	4.2%	$33,480.23
5250 Painting & Decorating	$57,846	$62,268	$64,285	$6,439	11.1%	$5,357.06
5260 Flooring	$83,365	$83,227	$83,251	-$114	-0.1%	$6,937.61
5270 Make-Ready / Turnover	$240,567	$251,187	$256,494	$15,927	6.6%	$21,374.47
5280 Landscaping Contract	$291,341	$283,798	$290,672	-$669	-0.2%	$24,222.64
5290 Snow Removal	$70,242	$66,210	$69,658	-$585	-0.8%	$5,804.80
5300 Janitorial	$91,887	$86,628	$89,553	-$2,334	-2.5%	$7,462.76
5310 Pest Control	$244,408	$251,911	$259,048	$14,640	6.0%	$21,587.31
5320 Trash Removal	$168,182	$176,100	$183,877	$15,695	9.3%	$15,323.11
5330 Elevator Contract	$298,534	$305,997	$315,593	$17,059	5.7%	$26,299.40
5340 Fire & Life Safety	$264,988	$258,583	$269,167	$4,179	1.6%	$22,430.55
5350 Security	$193,565	$181,338	$190,230	-$3,335	-1.7%	$15,852.50
5360 Electricity - Common	$183,040	$185,832	$195,385	$12,346	6.7%	$16,282.12
5370 Gas - Common	$97,130	$90,523	$92,036	-$5,094	-5.2%	$7,669.67
5380 Water & Sewer	$245,240	$256,695	$260,755	$15,515	6.3%	$21,729.56
5390 Telephone/Internet	$387,563	$381,959	$406,733	$19,171	4.9%	$33,894.45
5400 Advertising	$108,992	$114,773	$118,655	$9,662	8.9%	$9,887.88
5410 Resident Events	$113,072	$122,004	$122,087	$9,014	8.0%	$10,173.89
5420 Office Supplies	$262,989	$269,019	$277,374	$14,385	5.5%	$23,114.53
5430 Legal & Professional	$50,533	$51,274	$51,390	$856	1.7%	$4,282.47
5440 Accounting & Audit	$372,158	$375,860	$386,676	$14,519	3.9%	$32,223.04
5450 Licenses & Permits	$244,415	$238,823	$241,546	-$2,869	-1.2%	$20,128.84
5460 Management Fee	$266,105	$263,254	$271,569	$5,464	2.1%	$22,630.72
5470 Property Insurance	$140,077	$133,452	$134,165	-$5,911	-4.2%	$11,180.44
5480 Real Estate Taxes	$144,221	$152,699	$162,750	$18,530	12.8%	$13,562.53
5490 Asset Management Fee	$298,656	$314,220	$323,943	$25,287	8.5%	$26,995.29
5500 Replacement Reserves	$237,535	$255,402	$268,759	$31,224	13.1%	$22,396.58
5510 Roof Repairs	$101,146	$104,769	$110,417	$9,271	9.2%	$9,201.40
5520 Parking Lot Repairs	$155,457	$162,744	$172,338	$16,881	10.9%	$14,361.51
5530 Signage	$309,179	$316,850	$336,641	$27,462	8.9%	$28,053.41
5540 Tenant Improvements	$89,728	$86,894	$89,915	$187	0.2%	$7,492.91
5550 Leasing Commissions	$83,602	$85,024	$90,118	$6,516	7.8%	$7,509.80
5000 Gross Potential Rent	$366,331	$353,808	$366,338	$6	0.0%	$30,528.15
5010 Loss to Lease	$127,501	$127,090	$133,351	$5,850	4.6%	$11,112.54
5020 Vacancy Loss	$396,436	$386,809	$392,611	-$3,825	-1.0%	$32,717.57
5030 Concessions	$414,987	$439,535	$467,290	$52,303	12.6%	$38,940.83

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Financial Analysis

The going-in capitalization rate of 5.59% reflects the in-place income and the stabilized occupancy assumption. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Management fees are calculated at 7.2% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Effective gross income for the trailing period was $304,000, representing a 10.0% increase over the prior year. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The going-in capitalization rate of 7.28% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $461,000 or approximately 18.47 per square foot, with real estate taxes representing the largest line item.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 11 additional team members. Collections for the period were 88.9% of billed charges, with bad debt of 5.9% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 13 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 44th business day.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The manager completes a monthly walk of the property and submits a variance report to the owner by the 22th business day. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 9 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Valuation Discussion

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $27 per square foot with parking at a ratio of 32 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The going-in capitalization rate of 5.99% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Net operating income is projected to grow at a compound annual rate of 4.7% over the hold period. The going-in capitalization rate of 5.11% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $269,000, representing a 5.1% increase over the prior year.

Property Operations

Service requests are tracked through a work-order system with an average completion time of 27 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 43 additional team members. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $27 per square foot with parking at a ratio of 27 spaces per 1,000 square feet. Service requests are tracked through a work-order system with an average completion time of 6 hours.

Operating Performance

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Management fees are calculated at 5.5% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $474,000, representing a 3.8% increase over the prior year. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5520 Parking Lot Repairs	$260,290	$274,208	$285,051	$24,761	9.5%	$23,754.28
5530 Signage	$230,104	$248,286	$252,779	$22,675	9.9%	$21,064.89
5540 Tenant Improvements	$344,217	$343,775	$364,025	$19,808	5.8%	$30,335.42
5550 Leasing Commissions	$304,260	$320,959	$326,282	$22,022	7.2%	$27,190.13
5000 Gross Potential Rent	$107,502	$100,988	$103,334	-$4,167	-3.9%	$8,611.18
5010 Loss to Lease	$255,921	$248,149	$249,407	-$6,514	-2.5%	$20,783.88
5020 Vacancy Loss	$410,230	$379,229	$380,169	-$30,061	-7.3%	$31,680.79
5030 Concessions	$417,548	$419,314	$426,594	$9,046	2.2%	$35,549.52
5040 Bad Debt	$343,741	$335,850	$341,888	-$1,853	-0.5%	$28,490.66
5050 Late Fees	$169,305	$176,406	$181,366	$12,060	7.1%	$15,113.81
5060 Utility Reimbursements	$244,017	$257,077	$257,113	$13,096	5.4%	$21,426.06
5070 Parking Income	$339,720	$342,878	$349,904	$10,184	3.0%	$29,158.70
5080 Application Fees	$42,747	$44,862	$45,644	$2,898	6.8%	$3,803.71
5090 Pet Rent	$351,334	$346,196	$354,136	$2,802	0.8%	$29,511.34
5100 Laundry Income	$46,761	$47,855	$50,105	$3,345	7.2%	$4,175.43
5110 Cable/Internet Revenue	$235,645	$237,686	$239,592	$3,948	1.7%	$19,966.01
5120 CAM Reimbursements	$251,060	$254,008	$261,914	$10,853	4.3%	$21,826.14
5130 Tax Reimbursements	$243,774	$254,947	$257,354	$13,579	5.6%	$21,446.13
5140 Insurance Reimbursements	$240,543	$241,485	$246,112	$5,569	2.3%	$20,509.33
5150 Percentage Rent	$361,077	$332,423	$338,208	-$22,869	-6.3%	$28,183.98
5160 Misc. Income	$203,456	$215,769	$229,765	$26,309	12.9%	$19,147.10
5170 Payroll - Management	$224,504	$212,857	$214,825	-$9,679	-4.3%	$17,902.12
5180 Payroll - Leasing	$244,834	$261,973	$272,329	$27,496	11.2%	$22,694.11
5190 Payroll - Maintenance	$366,984	$370,158	$395,809	$28,825	7.9%	$32,984.06
5200 Payroll Taxes & Benefits	$418,332	$404,504	$406,668	-$11,664	-2.8%	$33,888.96
5210 Repairs - Plumbing	$390,553	$409,101	$414,020	$23,466	6.0%	$34,501.64
5220 Repairs - HVAC	$378,549	$357,914	$360,831	-$17,718	-4.7%	$30,069.26
5230 Repairs - Electrical	$35,723	$35,180	$37,205	$1,483	4.2%	$3,100.43
5240 Repairs - Appliances	$250,426	$264,763	$270,125	$19,699	7.9%	$22,510.41
5250 Painting & Decorating	$26,810	$27,755	$28,019	$1,209	4.5%	$2,334.92
5260 Flooring	$183,560	$185,576	$194,221	$10,661	5.8%	$16,185.08
5270 Make-Ready / Turnover	$42,966	$42,883	$42,972	$5	0.0%	$3,580.97
5280 Landscaping Contract	$315,823	$308,315	$314,958	-$865	-0.3%	$26,246.53
5290 Snow Removal	$168,632	$170,264	$178,857	$10,224	6.1%	$14,904.73
5300 Janitorial	$40,698	$40,270	$41,417	$719	1.8%	$3,451.38
5310 Pest Control	$106,378	$109,134	$113,800	$7,422	7.0%	$9,483.33
5320 Trash Removal	$394,176	$378,949	$402,434	$8,257	2.1%	$33,536.13
5330 Elevator Contract	$177,435	$185,932	$189,158	$11,724	6.6%	$15,763.20
5340 Fire & Life Safety	$332,945	$322,317	$337,482	$4,538	1.4%	$28,123.51
5350 Security	$237,210	$243,379	$259,182	$21,972	9.3%	$21,598.47
5360 Electricity - Common	$408,097	$376,650	$395,254	-$12,843	-3.1%	$32,937.83

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Income and Expense Review

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Operating expenses totaled $396,000 or approximately 23.23 per square foot, with real estate taxes representing the largest line item. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The going-in capitalization rate of 7.59% reflects the in-place income and the stabilized occupancy assumption.

Management fees are calculated at 5.4% of collected revenue and are included in operating expenses. Average rent is $27 per square foot with parking at a ratio of 10 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Effective gross income for the trailing period was $389,000, representing a 10.2% increase over the prior year. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Property Operations

The manager completes a monthly walk of the property and submits a variance report to the owner by the 4th business day. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 6 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 89.9% of billed charges, with bad debt of 3.4% of gross potential income. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Average rent is $27 per square foot with parking at a ratio of 40 spaces per 1,000 square feet. Collections for the period were 92.6% of billed charges, with bad debt of 4.3% of gross potential income. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Service requests are tracked through a work-order system with an average completion time of 9 hours.

Financial Analysis

Effective gross income for the trailing period was $133,000, representing a 6.8% increase over the prior year. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The going-in capitalization rate of 6.10% reflects the in-place income and the stabilized occupancy assumption. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Net operating income is projected to grow at a compound annual rate of 4.7% over the hold period.

Management fees are calculated at 7.2% of collected revenue and are included in operating expenses. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The going-in capitalization rate of 5.23% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.21x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $397,000 or approximately 43.43 per square foot, with real estate taxes representing the largest line item. Average rent is $27 per square foot with parking at a ratio of 25 spaces per 1,000 square feet.

Leasing and Marketing

The manager completes a monthly walk of the property and submits a variance report to the owner by the 46th business day. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 33 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The manager completes a monthly walk of the property and submits a variance report to the owner by the 42th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 7 additional team members. Service requests are tracked through a work-order system with an average completion time of 6 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Valuation Discussion

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5470 Property Insurance	$181,679	$179,273	$186,022	$4,343	2.4%	$15,501.86
5480 Real Estate Taxes	$335,665	$340,626	$364,139	$28,474	8.5%	$30,344.95
5490 Asset Management Fee	$260,884	$273,880	$283,697	$22,813	8.7%	$23,641.40
5500 Replacement Reserves	$192,809	$196,431	$196,676	$3,866	2.0%	$16,389.66
5510 Roof Repairs	$78,056	$73,609	$74,233	-$3,823	-4.9%	$6,186.09
5520 Parking Lot Repairs	$55,801	$54,041	$55,194	-$607	-1.1%	$4,599.52
5530 Signage	$54,391	$58,403	$59,969	$5,578	10.3%	$4,997.46
5540 Tenant Improvements	$260,570	$253,675	$262,776	$2,206	0.8%	$21,898.01
5550 Leasing Commissions	$98,587	$106,290	$112,164	$13,576	13.8%	$9,346.96
5000 Gross Potential Rent	$337,096	$342,422	$360,654	$23,558	7.0%	$30,054.47
5010 Loss to Lease	$64,459	$60,359	$60,843	-$3,616	-5.6%	$5,070.25
5020 Vacancy Loss	$227,439	$213,159	$216,016	-$11,424	-5.0%	$18,001.30
5030 Concessions	$274,583	$264,782	$282,602	$8,019	2.9%	$23,550.14
5040 Bad Debt	$401,323	$414,561	$432,228	$30,905	7.7%	$36,019.00
5050 Late Fees	$322,743	$313,558	$327,033	$4,290	1.3%	$27,252.75
5060 Utility Reimbursements	$295,216	$293,539	$303,812	$8,596	2.9%	$25,317.70
5070 Parking Income	$289,503	$307,829	$319,976	$30,473	10.5%	$26,664.63
5080 Application Fees	$140,837	$129,736	$138,234	-$2,603	-1.8%	$11,519.46
5090 Pet Rent	$147,561	$150,447	$157,894	$10,332	7.0%	$13,157.82
5100 Laundry Income	$268,619	$250,559	$258,840	-$9,779	-3.6%	$21,570.03
5110 Cable/Internet Revenue	$302,372	$303,355	$317,492	$15,120	5.0%	$26,457.64
5120 CAM Reimbursements	$342,468	$335,898	$342,122	-$346	-0.1%	$28,510.19
5130 Tax Reimbursements	$198,680	$188,286	$189,009	-$9,671	-4.9%	$15,750.78
5140 Insurance Reimbursements	$125,493	$120,344	$122,008	-$3,485	-2.8%	$10,167.30
5150 Percentage Rent	$328,865	$323,597	$325,071	-$3,794	-1.2%	$27,089.23
5160 Misc. Income	$335,046	$357,689	$373,976	$38,930	11.6%	$31,164.63
5170 Payroll - Management	$145,833	$136,039	$142,470	-$3,363	-2.3%	$11,872.49
5180 Payroll - Leasing	$49,193	$51,994	$55,125	$5,932	12.1%	$4,593.75
5190 Payroll - Maintenance	$125,921	$119,541	$125,251	-$670	-0.5%	$10,437.61
5200 Payroll Taxes & Benefits	$407,979	$391,608	$399,491	-$8,489	-2.1%	$33,290.88
5210 Repairs - Plumbing	$362,179	$358,388	$365,133	$2,954	0.8%	$30,427.74
5220 Repairs - HVAC	$108,663	$106,670	$113,028	$4,365	4.0%	$9,419.03
5230 Repairs - Electrical	$397,149	$410,174	$436,852	$39,703	10.0%	$36,404.32
5240 Repairs - Appliances	$331,254	$345,930	$365,006	$33,752	10.2%	$30,417.15
5250 Painting & Decorating	$116,706	$122,658	$125,652	$8,946	7.7%	$10,471.00
5260 Flooring	$311,505	$300,191	$313,430	$1,926	0.6%	$26,119.19
5270 Make-Ready / Turnover	$24,088	$23,130	$24,199	$111	0.5%	$2,016.59
5280 Landscaping Contract	$265,343	$274,705	$292,202	$26,859	10.1%	$24,350.18
5290 Snow Removal	$377,776	$377,857	$387,357	$9,581	2.5%	$32,279.75
5300 Janitorial	$162,893	$161,537	$161,838	-$1,055	-0.6%	$13,486.50
5310 Pest Control	$344,919	$337,999	$338,765	-$6,154	-1.8%	$28,230.42
5320 Trash Removal	$231,264	$224,287	$237,749	$6,484	2.8%	$19,812.38
5330 Elevator Contract	$173,388	$175,547	$182,614	$9,227	5.3%	$15,217.85

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Financial Analysis

Debt service coverage ratio was 8.06x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 6.7% of collected revenue and are included in operating expenses. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $27 per square foot with parking at a ratio of 16 spaces per 1,000 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Management fees are calculated at 5.6% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.26x on a trailing basis against a covenant minimum of 1.20x. Average rent is $27 per square foot with parking at a ratio of 15 spaces per 1,000 square feet. Net operating income is projected to grow at a compound annual rate of 6.5% over the hold period. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Leasing and Marketing

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average rent is $27 per square foot with parking at a ratio of 19 spaces per 1,000 square feet. Collections for the period were 89.7% of billed charges, with bad debt of 3.7% of gross potential income.

Collections for the period were 89.9% of billed charges, with bad debt of 4.0% of gross potential income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 44th business day. Average rent is $27 per square foot with parking at a ratio of 11 spaces per 1,000 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 27 additional team members.

Income and Expense Review

Net operating income is projected to grow at a compound annual rate of 4.3% over the hold period. Average rent is $27 per square foot with parking at a ratio of 5 spaces per 1,000 square feet. Effective gross income for the trailing period was $47,000, representing a 6.3% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Effective gross income for the trailing period was $469,000, representing a 13.3% increase over the prior year. The going-in capitalization rate of 7.48% reflects the in-place income and the stabilized occupancy assumption. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $168,000 or approximately 10.35 per square foot, with real estate taxes representing the largest line item. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Leasing and Marketing

Average rent is $27 per square foot with parking at a ratio of 27 spaces per 1,000 square feet. Collections for the period were 90.8% of billed charges, with bad debt of 4.4% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 24th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 22th business day. Collections for the period were 90.1% of billed charges, with bad debt of 7.4% of gross potential income. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 48 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Financial Analysis

Debt service coverage ratio was 6.52x on a trailing basis against a covenant minimum of 1.20x. Average rent is $27 per square foot with parking at a ratio of 40 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Operating expenses totaled $252,000 or approximately 43.15 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 6.56% reflects the in-place income and the stabilized occupancy assumption.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5160 Misc. Income	$212,931	$206,593	$220,964	$8,034	3.8%	$18,413.71
5170 Payroll - Management	$298,459	$310,182	$317,885	$19,425	6.5%	$26,490.40
5180 Payroll - Leasing	$343,005	$351,181	$370,359	$27,354	8.0%	$30,863.24
5190 Payroll - Maintenance	$185,514	$187,803	$188,307	$2,793	1.5%	$15,692.24
5200 Payroll Taxes & Benefits	$158,397	$146,125	$152,843	-$5,554	-3.5%	$12,736.91
5210 Repairs - Plumbing	$363,266	$337,337	$350,372	-$12,895	-3.5%	$29,197.63
5220 Repairs - HVAC	$243,191	$236,006	$243,045	-$146	-0.1%	$20,253.72
5230 Repairs - Electrical	$192,255	$182,179	$183,433	-$8,821	-4.6%	$15,286.12
5240 Repairs - Appliances	$286,432	$263,624	$273,941	-$12,490	-4.4%	$22,828.44
5250 Painting & Decorating	$135,338	$127,230	$132,430	-$2,908	-2.1%	$11,035.87
5260 Flooring	$395,527	$368,334	$391,253	-$4,274	-1.1%	$32,604.42
5270 Make-Ready / Turnover	$70,277	$72,005	$75,473	$5,197	7.4%	$6,289.46
5280 Landscaping Contract	$287,866	$269,962	$286,866	-$1,000	-0.3%	$23,905.54
5290 Snow Removal	$359,225	$331,183	$350,132	-$9,093	-2.5%	$29,177.69
5300 Janitorial	$247,161	$236,102	$250,458	$3,297	1.3%	$20,871.48
5310 Pest Control	$34,022	$35,386	$35,528	$1,506	4.4%	$2,960.70
5320 Trash Removal	$343,532	$335,432	$354,738	$11,206	3.3%	$29,561.51
5330 Elevator Contract	$194,014	$201,015	$210,315	$16,301	8.4%	$17,526.26
5340 Fire & Life Safety	$379,752	$372,990	$387,651	$7,900	2.1%	$32,304.28
5350 Security	$168,539	$171,583	$177,100	$8,561	5.1%	$14,758.36
5360 Electricity - Common	$65,313	$69,162	$70,635	$5,322	8.1%	$5,886.27
5370 Gas - Common	$173,200	$180,920	$192,716	$19,515	11.3%	$16,059.63
5380 Water & Sewer	$131,989	$129,490	$134,242	$2,254	1.7%	$11,186.86
5390 Telephone/Internet	$283,737	$278,259	$284,143	$406	0.1%	$23,678.58
5400 Advertising	$347,582	$356,210	$376,819	$29,237	8.4%	$31,401.56
5410 Resident Events	$144,886	$137,828	$144,547	-$339	-0.2%	$12,045.61
5420 Office Supplies	$214,701	$229,079	$231,273	$16,572	7.7%	$19,272.73
5430 Legal & Professional	$297,830	$295,764	$312,100	$14,270	4.8%	$26,008.37
5440 Accounting & Audit	$243,498	$260,510	$263,352	$19,853	8.2%	$21,945.97
5450 Licenses & Permits	$167,416	$161,028	$161,989	-$5,428	-3.2%	$13,499.06
5460 Management Fee	$184,069	$170,792	$171,729	-$12,340	-6.7%	$14,310.78
5470 Property Insurance	$265,996	$257,279	$265,865	-$131	-0.0%	$22,155.38
5480 Real Estate Taxes	$73,269	$68,293	$72,354	-$915	-1.2%	$6,029.50
5490 Asset Management Fee	$324,884	$327,138	$340,147	$15,263	4.7%	$28,345.61
5500 Replacement Reserves	$373,287	$350,598	$368,316	-$4,971	-1.3%	$30,693.00
5510 Roof Repairs	$417,660	$409,161	$432,342	$14,682	3.5%	$36,028.47
5520 Parking Lot Repairs	$24,319	$25,702	$27,031	$2,712	11.2%	$2,252.56
5530 Signage	$146,766	$135,820	$138,689	-$8,076	-5.5%	$11,557.45
5540 Tenant Improvements	$280,470	$260,843	$267,328	-$13,142	-4.7%	$22,277.33
5550 Leasing Commissions	$198,063	$213,874	$228,395	$30,331	15.3%	$19,032.90

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Operating Performance

Debt service coverage ratio was 5.34x on a trailing basis against a covenant minimum of 1.20x. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The going-in capitalization rate of 5.64% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $242,000 or approximately 45.52 per square foot, with real estate taxes representing the largest line item. Average rent is $27 per square foot with parking at a ratio of 40 spaces per 1,000 square feet.

Effective gross income for the trailing period was $332,000, representing a 12.5% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Debt service coverage ratio was 5.55x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $256,000 or approximately 25.73 per square foot, with real estate taxes representing the largest line item. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Property Operations

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 88.2% of billed charges, with bad debt of 5.4% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 36th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 47 additional team members. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $27 per square foot with parking at a ratio of 15 spaces per 1,000 square feet. Service requests are tracked through a work-order system with an average completion time of 30 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 27th business day.

Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 6.74x on a trailing basis against a covenant minimum of 1.20x. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 4.1% over the hold period. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Effective gross income for the trailing period was $72,000, representing a 3.0% increase over the prior year.

Leasing and Marketing

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Collections for the period were 90.4% of billed charges, with bad debt of 5.4% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 33 additional team members. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. The manager completes a monthly walk of the property and submits a variance report to the owner by the 9th business day.

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 12 additional team members. Collections for the period were 89.3% of billed charges, with bad debt of 6.5% of gross potential income. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Valuation Discussion

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